

Fundamental Rules

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to all firms.

1.2

In this Part, the following definitions shall apply:

prudential context

means, in relation to activities carried on by a firm, the context in which the activities have, or might reasonably be regarded as likely to have, a negative effect on:

1. (1) the safety and soundness of firms; or
2. (2) the ability of the firm to meet either:
 1. (a) the "fit and proper" test in threshold conditions 4E and 5E (Suitability); or
 2. (b) the applicable requirements and standards under the regulatory system relating to the firm's financial resources.

2

Fundamental Rules

2.1

Fundamental Rule_1: A firm must conduct its business with integrity.

2.2

Fundamental Rule_2: A firm must conduct its business with due skill, care and diligence.

2.3

Fundamental Rule_3: A firm must act in a prudent manner.

2.4

Fundamental Rule_4: A firm must at all times maintain adequate financial resources.

2.5

Fundamental Rule 5: A _firm_ must have effective risk strategies and risk management systems.

2.6

Fundamental Rule 6: A _firm_ must organise and control its affairs responsibly and effectively.

2.7

Fundamental Rule 7: A _firm_ must deal with its regulators in an open and cooperative way and must disclose to the _PRA_ appropriately anything relating to the _firm_ of which the _PRA_ would reasonably expect notice.

2.8

Fundamental Rule 8: A _firm_ must prepare for resolution so, if the need arises, it can be resolved in an orderly manner with a minimum disruption of critical services.

3

Restrictions

3.1

[Deleted.]

3.2

[Deleted.]

3.3

The _Fundamental Rules_ apply with respect to the carrying on of:

1. (1) _regulated activities_ ;
2. (2) activities that constitute _dealing in investments as principal_ , disregarding the exclusion in Article 15 of the _Regulated Activities Order_ (Absence of holding out etc); and
3. (3) _ancillary activities_ in relation to _PRA-regulated activities_.

3.4

Fundamental Rules 3, 4, 5, 6, 8 and (in so far as it relates to disclosing to the _PRA_) 7 (and this chapter) also:

1. (1) apply with respect to the carrying on of _unregulated activities_ (for _Fundamental Rules_ 5, 6 and 8 this is only in a _prudential context_); and
2. (2) take into account any activity of other members of a _group_ of which the _firm_ is a member.

3.5

The _Fundamental Rules_ apply with respect to activities wherever they are carried on.

3.6

Where _Fundamental Rule_ 7 refers to regulators, this means, in addition to the _PRA_ , other regulators with recognised jurisdiction in relation to _regulated activities_ , whether in the _UK_ or abroad.

4

Transitional Provisions

4.1

Each _rule_ in the Principles for Businesses module of the _PRA Handbook_ continues to apply in relation to any act or omission before the date on which this Part came into force.

4.2

Anything done, or having effect as done, under or for the purposes of any _rule_ in the Principles for Businesses module of the _PRA Handbook_ has effect after the date on which this Part came into force as if done under or for the purposes of any substantially similar _rule_ in this Part.